

GUIDELINES AND INSTRUCTIONS

CERTIFICATE OF NET PAY

NAME OF BORROWER

For the month of: _____

Basic Salary _____

Add: Allowances

Gross Monthly Income _____

Less: Deductions

Total Deductions _____

Net Monthly Income _____

Issued this _____ day of _____, 20____.

I certify under pain of perjury that the above-mentioned information is true and correct.

VICTOR ADRIAN II T. AVISO

AUTHORIZED SIGNATORY
(Signature Over Printed Name)

A. Who May File

Any Pag-IBIG Fund member who satisfies the following requirements:

- Has made at least twelve (12) monthly membership savings (MS);
 - A member who has withdrawn MS due to membership maturity, or through optional withdrawal, may apply for an MPL provided, that the member has subsequently accumulated 12 monthly MS or at least its equivalent, reckoned from the cut-off date of membership maturity or optional withdrawal.
 - A member, who does not meet the required 12 monthly MS may nevertheless, be allowed to avail of an MPL, provided that the total accumulated savings is at least equivalent to 12 monthly MS, based on the rate applicable to the member.
- Must be an active Pag-IBIG Fund member at the time of loan application;
- If with existing MPL/Calamity Loan/HELPS, the account/s must not be in default as of date of application; and
- Has sufficient proof of income.

B. How to File

The applicant shall:

- Secure the Multi-Purpose Loan Application Form (MPLAF) from any Pag-IBIG Fund Branch or download from Pag-IBIG website at www.pagibigfund.gov.ph.
- Accomplish one (1) copy of the application form.
- Submit the accomplished application form, together with the required documents to any Pag-IBIG Fund Branch. Processing of loans shall commence only upon submission of the complete requirements.

C. Loan Features

1. Loan Amount

A qualified Pag-IBIG member shall be allowed to borrow an amount based on the lowest of the following:

1.1 Desired Loan Amount

1.2 Loan Entitlement

The loan entitlement shall be equivalent to ninety percent (90%) of the member's TAV. However, if the borrower has an existing MPL/Calamity Loan/HELPS, the loanable amount shall be the difference between the 90% of the borrower's TAV and the outstanding balance of the existing MPL/Calamity Loan/HELPS.

1.3 Capacity to Pay

The loanable amount shall be limited to an amount which will not render the borrower's Net Take Home Pay (NTHP) to fall below the minimum requirement as prescribed by the General Appropriation Act (GAA) or company policy, whichever is applicable.

2. Interest Rate

The loan shall be charged with an interest rate of 1.4583% per month, based on a diminishing balance method, with interest during the grace period, and shall be amortized over the chosen term.

3. Loan Term

The loan shall be repaid over a period of one (1) year, two (2) years or three (3) years, at the option of the member upon loan application, with a grace period of two (2) months.

However, in the event that the borrower does not indicate the chosen loan term upon loan application, the default term shall be two (2) years.

4. Loan Release

The loan proceeds shall be released through any of the following modes:

- Crediting to the borrower's disbursement card or Pag-IBIG Loyalty Card Plus;
- Crediting to the borrower's bank account through LANDBANK's Payroll Credit Systems Validation (PACSVAL);
- Check payable to the borrower. However, when the check remains unclaimed for a period of thirty (30) calendar days from the DV/Check date despite notice to the borrower (either by email, registered mail or personal delivery to his postal address, or Short Message Service (SMS) informing him that the same is available for release, the check shall be cancelled and the loan will be reversed.
- Other acceptable modes of disbursement.

5. Loan Payments

5.1 The loan shall be paid in equal monthly payments in such amounts as may fully cover the principal and interest over the loan period. Said amortization shall be made, whenever feasible, through salary deduction.

5.2 For self-employed individuals, Overseas Filipino Workers (OFWs), or other types of individual payors, monthly payments shall be paid over-the-counter or any other modes of payment approved by the Fund.

5.3 Payments shall be remitted to the Fund on or before the fifteenth (15th) day of each month, starting on the third (3rd) month from the date indicated on the DV/Check or manual disbursement voucher.

5.4 If the due date falls on a non-working day, the monthly amortization shall be paid on the first working day after the due date.

5.5 The borrower may fully pay the outstanding balance of the loan prior to loan maturity.

5.6 The borrower shall pay directly to the Fund in case the borrower is unable to pay through salary deduction for any of the following circumstances, such as but not limited to:

- Suspension from work
- Leave of absence without pay
- Insufficiency of take home pay at any time during the term of the loan; or
- Other circumstances analogous to the foregoing.

5.7 Payment shall be applied according to the following order of priorities:

- Penalties; if any
- Interest; and
- Principal

5.8 Any amount in excess of the required monthly amortization shall be applied to succeeding amortizations which will be posted on the next due date.

6. Penalties

A penalty of one-twentieth of one percent (1/20 of 1%) of any unpaid amount shall be charged to the borrower for every day of delay. For borrowers paying through salary deduction, penalties shall only be reversed only upon presentation of proof that non-payment was due to the fault of the employer. In such case, penalties due from the borrower shall be charged to the employer. Non-remittance of the total loan amortization shall likewise subject the employer with a penalty of one-tenth of one percent (1/10 of 1%) per day of delay of the amounts payable from the date the loan amortization or payments fall due until paid.

7. Default

The borrower shall be in default in any of the following cases, without need for demand:

- Any willful misrepresentation made by the borrower in any of the documents executed in relation hereto.
- Failure of the borrower to pay any three (3) consecutive monthly amortizations.
- Failure of the borrower to pay any three (3) consecutive Pag-IBIG monthly savings; or
- Violation by the borrower of any of the membership/STL/housing loan policies, rules, regulations and guidelines of Pag-IBIG Fund.

8. Effects of Default

In the event of default, the outstanding loan obligation shall become due and demandable. Without the need for demand, the Fund shall offset the outstanding loan obligation from the borrower's TAV.

D. Other Loan Provisions

1. The MPL, HELPS and Calamity Loan programs shall be treated as separate and distinct from one another. Accordingly, a member may avail of an MPL even with an existing Calamity Loan/HELPS, and vice versa. Loan applications under these programs shall be governed by their respective guidelines.

2. In no case shall the aggregate STL exceed ninety percent (90%) of the borrower's TAV.

3. For all loan terms, a borrower may renew his/her MPL after payment of equivalent to four (4) monthly amortizations; not earlier than sixth (6th) month after DV date of current loan; and provided that he/she meets the eligibility requirement. The approved loan shall be applied to the borrower's outstanding MPL obligation and the net proceeds shall then be released to him. In case of full payment prior to loan maturity, a borrower shall be allowed to apply for a new loan anytime thereafter.

4. An eligible member who is an active member under more than one employer shall have only one outstanding MPL at any given time. At point of application, the member shall choose which employer shall deduct and remit his monthly MPL amortizations.

5. In the event of membership termination, any outstanding loan obligation whether current or in default shall be deducted from the borrower's TAV and/or any amount due the member or the member's beneficiaries that is in the possession of the Fund. In case of the borrower's death, the outstanding loan obligation shall be computed up to the date of death. Any payments received after date of death shall be refunded to the borrower's beneficiaries.

6. Borrower may request for the immediate offsetting of an outstanding MPL balance against the borrower's TAV. The offsetting shall be effected upon approval of the request, provided, that it is based on any of the following justifiable reasons: Total disability or insanity; Separation from service by reason of health; Death of borrower's immediate family member; Distressed borrower due to unemployment limited to layoff and/or closure of company; Critical illness of the borrower or any immediate family member, as certified by a licensed physician under one of the following categories: cancer, organ failure, heart-related illness, stroke and neuromuscular-related illness; Repatriation of OFW borrower from host country and other meritorious grounds as may be approved for by the Board.

7. If TAV offsetting has been effected on the borrower's defaulting MPL, he may apply for a new MPL provided, he has paid at least (6) monthly amortizations prior to default and its consequent offsetting against the borrower's TAV, the member may immediately apply for another loan, subject to the eligibility criteria provided in the Guidelines. However, if he has paid less than six (6) monthly amortizations prior to default and its consequent offsetting against the borrower's TAV, the member may apply for a new loan only after one (1) year from the date of TAV offsetting, subject to the eligibility criteria provided in the Guidelines.

8. In case there is a need to update the borrower's address and/or contact details (i.e. present home address, permanent home address, email address, cell phone number, home telephone number and business telephone number) at point of loan application, the borrower shall not be required to submit Member's Change of Information Form (MCIF, HQP-PFF-049). The updating of information shall be based on the submitted MPLAF.

However, in case the information that needs to be changed/updated is other than the address and/or contact details, the concerned borrower is required to submit the accomplished MCIF together with the supporting documents, if necessary. Please refer to the Checklist of Requirements specified at the back portion of the MCIF.